ⓘ AAA — Nov 2026 amendments (ICAI RTP Part I) and what changed in your pack

Source: ICAI RTP Final Paper 3, November 2026 examination, Part I Academic Update (full official RTP follows, including Part II questions and answers). These changes are now also marked in red boxes inside AAA_1_Twist_Notes (Ch 14 and Ch 19).

Topic (SM page)	SM / old figure	Nov 2026 position (RTP)
Ch 14 NBFC — registration (SM p.14.90)	No exemption; every NBFC with the 50-50 test needs CoR	RBI Registration Amendment Directions 2026 (29 Apr 2026, effective 1 Jul 2026): Unregistered Type I – Exempt (no public funds, no customer interface, assets below ₹1,000 cr; may deregister by 31 Dec 2026); Type I Registered (same, assets above ₹1,000 cr); Type II Registered (public funds or customer interface, any size)
Ch 14 NBFC-MFI	—	≥60% of total assets (net of intangibles) in microfinance loans on an ongoing basis; fails for four consecutive quarters → remediation plan to RBI (circular 6 June 2025)
Ch 14 capital (SM p.14.92)	15% minimum capital ratio and Tier I 10% for NBFCs (single rule)	Layer-wise: gold lenders Tier I 12% & CRAR 15%; ML and above Tier I 10% & CRAR 15%; UL + CETI 9%; Top Layer + RBI charge; **BL: no CRAR — leverage ratio ≤ 7**; sub-debt discount 100/80/60/40/20%
Ch 14 risk weights (SM p.14.94)	—	High-quality infrastructure project loans: repaid ≥2% → 75%; ≥5% → 50%; ROU assets in "other assets" → 100%
Ch 14 standard asset provision (SM p.14.99)	0.40% (non-UL) / 0.25% (BL)	ML 0.40% incl. microfinance; UL category-wise: housing/SME 0.25%, teaser 2%, CRE-RH 0.75%, CRE 1%, others 0.40% (illus: ₹1.40 cr); DLG in ECL; extra 5% specific provision per restructuring, written back after 20% repaid
Ch 19 First Sch Part I Cl (9) (SM p.19.68)	s.225 of 1956 Act / s.139-141	Adds "or any other law pertaining to appointment of auditors for the time being in force"
Ch 19 Second Sch Part II (SM p.19.109)	Clauses (1)-(4)	**NEW Clause (5): acts as an auditor of the company in contravention of the provisions of the Companies Act, 2013**
Ch 19 CGG Ch VI tax audit (SM p.19.111)	60 per partner; firm limit 60 × partners can be distributed in any manner	60 per member per FY, aggregate (individual + as partner); member cannot sign more than 60; **cannot be distributed or shared between partners**; 44AE/44ADA/44AD audits excluded; revised report not counted

Code of Ethics 2026 (from 1 April 2026) — NOT in the Nov 2026 RTP: answer per SM, add one line: company audits 30 → Code 40; teaching 25 hrs/week → Code text 35; goodwill sale after death 1 year → extended to 3 years; educational videos: Code allows firm name and contact details (not website); push technology allowed for services not exclusive to CAs.

Exam rule: where the RTP amends the SM, write the RTP position (it is applicable for Nov 2026). Where only the Code 2026 differs (not in RTP), write the SM answer and add the Code line.

PAPER – 3: ADVANCED AUDITING, ASSURANCE AND PROFESSIONAL ETHICS

Part – I : Academic Update

(Legislative Amendments / Notifications / Circulars / Rules / Guidelines issued by Regulating Authority)

Chapter 14 - Unit 2 - Special Features of Audit of Non-Banking Financial Companies

1. **Registration Exemption for Certain NBFCs – 2026 Amendment: On page no 14.90 following amendment may be read as an addendum to Chapter 14 and should be read along with the existing provisions.**

   While the Registration Directions 2025 themselves introduced no substantive change from the SBR Directions 2023, a subsequent and significant amendment was introduced vide Reserve Bank of India (Non-Banking Financial Companies – Registration, Exemptions and Framework for Scale Based Regulation) Amendment Directions, 2026 (hereinafter referred to as the "Registration Amendment Directions 2026"), issued on April 29, 2026, effective from July 01, 2026.The Registration Amendment Directions 2026 introduced a three-category definitional framework:

   1) **Unregistered (Type I – Exempt):** Non-deposit-taking NBFCs with no public funds, no customer interface, and asset size below ₹ 1,000 crore are exempted from the provisions of Sections 45IA and 45IC of the RBI Act. Such existing NBFCs, including those holding a Certificate of Registration as Type I NBFC, can apply for deregistration by December 31, 2026.

   2) **Type I NBFC (Registered):** Non-deposit-taking NBFCs with no public funds and no customer interface, but with an asset size exceeding ₹ 1,000 crore, continue to require registration.

3) **Type II NBFC (Registered):** NBFCs that avail public funds or have a customer interface, regardless of asset size, continue to require registration.

This is a material departure from the position under the SBR Directions 2023, which did not provide for any such statutory exemption from registration for non-public fund, non-customer-facing NBFCs below the ₹ 1,000 crore threshold.

This deregulation specifically targets micro-NBFCs, private investment vehicles, holding companies, and family offices that previously bore the disproportionate administrative and financial compliance burden of maintaining a CoR simply because their balance sheets mathematically satisfied the 50-50 Test. The new three-tier registration model summary:

Classification Category	Customer Interface Requirement	Acceptance of Public Funds	Asset Size Threshold	RBI Registration Status
Unregistered Type I NBFC	Strictly None	Strictly None (Direct or Indirect)	Less than ₹ 1,000 crore	**Exempt** from Section 45-IA
Type I NBFC	Strictly None	Strictly None (Direct or Indirect)	Greater than ₹ 1,000 crore	**Mandatory** (CoR Required)
Type II NBFC	Permitted	Permitted	Any Asset Size	**Mandatory** (CoR Required)

2. As per the circular DoR.FIN.REC.25/03.10.038/2025-26 dated June 06, 2025, if an NBFC-MFI fails to maintain the criteria specified in following para for four consecutive quarters, it shall approach the Reserve Bank with a remediation plan for taking a view in the matter.

"NBFC-MFI" means a non-deposit taking NBFC which has a minimum of 60 percent of its total assets (netted off by intangible assets), on an ongoing basis, deployed towards "microfinance loans" as defined under

Reserve Bank of India (Regulatory Framework for Microfinance Loans) Directions, 2022.

3. Capital Requirements on page no. 14.92 to be read as:

Every applicable NBFC as defined in the Master Direction – Reserve Bank of India (Non-Banking Financial Company – Scale Based Regulation) Directions, 2023 shall maintain the minimum capital ratios given below, depending on the layer in which it is placed under the Scale Based Regulation (SBR) framework.

With effect from November 28, 2025 (as updated up to July 01, 2026), the RBI (Non-Banking Financial Companies – Prudential Norms on Capital Adequacy) Directions, 2025 prescribe the capital adequacy requirement on a layer-wise basis under the Scale Based Regulation (SBR) framework, summarised below.

(a) NBFC primarily engaged in lending against gold jewellery (such loans comprising 50 percent or more of its financial assets), irrespective of layer: minimum Tier 1 capital 12 percent and minimum CRAR 15 percent of aggregate risk weighted assets (Tier 2 capital shall not, at any time, exceed 100 percent of Tier 1 capital);

(b) NBFC – Middle Layer (NBFC-ML) and above (other than gold-jewellery lending NBFCs covered in (a) above): minimum Tier 1 capital 10 percent and minimum CRAR 15 percent of aggregate RWAs (Tier 2 capital ≤ 100 percent of Tier 1 capital);

(c) NBFC – Upper Layer (NBFC-UL): all the requirements at (b) above PLUS a minimum Common Equity Tier 1 (CET1) capital of 9 percent of aggregate RWAs. CET1 is the highest-quality slice of Tier 1 capital – broadly, paid-up equity capital, share premium, statutory/capital/other free reserves and retained earnings, less specified regulatory deductions (e.g. goodwill, intangibles, certain DTAs);

(d) NBFC – Top Layer: all the requirements at (c) above, PLUS a higher capital charge specifically communicated by the RBI to the NBFC at the time of its classification in the Top Layer; and

(e) NBFC – Base Layer (other than gold-jewellery lending NBFCs): no specific CRAR/Tier 1 ratio is prescribed under Chapter II of the Directions; however, its Leverage Ratio (Total Outside Liabilities ÷ Owned Fund) shall not exceed 7 at any point of time.

CRAR = (Tier 1 Capital + Tier 2 Capital) ÷ Risk Weighted Assets (RWAs); Tier 1 Capital Ratio = Tier 1 Capital ÷ RWAs; CET1 Capital Ratio = CET1 Capital ÷ RWAs.

"Tier 1 capital" for NBFCs (except NBFCs-BL) is the sum of

(i) Owned fund as reduced by investment in shares of other NBFCs and in shares, debentures, bonds, outstanding loans and advances including hire purchase and lease finance made to and deposits with subsidiaries and companies in the same group exceeding, in aggregate, ten percent of the owned fund; and

(ii) Perpetual debt instruments issued by a non-deposit taking NBFCs in each year to the extent it does not exceed 15 percent of the aggregate Tier 1 capital of such company as on March 31 of the previous financial year.

Notes:

1. NBFCs-BL are not eligible to include perpetual debt instruments in their Tier 1 capital.

2. Common Equity Tier 1 (CET1) capital: CET1 is Tier 1 capital as computed above, further reduced by items such as Perpetual Debt Instruments (PDI) included in Tier 1, goodwill and other intangible assets, specified deferred tax assets, and other regulatory deductions. An NBFC-UL and an NBFC in the Top Layer must additionally maintain CET1 of at least 9 percent of aggregate RWAs [see (c) and (d) above]; this requirement does not apply to NBFC-BL and NBFC-ML.

"Tier 2 capital" for NBFCs (except NBFCs-BL) is the sum of

(i) Preference shares other than those which are compulsorily convertible into equity;

(ii) Revaluation reserves at discounted rate of 55 percent;

(iii) General provisions (including that for Standard Assets) and loss reserves to the extent these are not attributable to actual diminution in value or identifiable potential loss in any specific asset and are available to meet unexpected losses, to the extent of one and 1.25% of risk weighted assets;

(iv) Hybrid debt capital instruments;

(v) Subordinated debt; and

Provided that book value of subordinated debt shall be subject to discounting as provided under

Remaining Maturity of the instruments	Rate of discount
Up to one year	100%
More than one year but up to two years	80%
More than two years but up to three years	60%
More than three years but up to four years	40%
More than four years but up to five years	20%

to the extent such discounted value does not exceed fifty percent of Tier 1 capital; and

(vi) Perpetual debt instruments issued by a non-deposit taking NBFC which is in excess of what qualifies for Tier 1 capital;

to the extent the aggregate does not exceed Tier 1 capital.

Note – NBFCs-BL are not eligible to include perpetual debt instruments in their Tier 2 capital. For in-depth understanding student may refer the detailed Directions issued by RBI available on https://www.rbi.org.in/Scripts/BS_ViewMasDirections.aspx?id=12959

4. Addition of ROU Assets to Other Assets definition in Weighted risk assets - On-Balance Sheet items table given on page no 14.94

S. No.	Weighted risk assets – On Balance Sheet Items	Percentage weight
(ii)	(e)(i) Loans to 'High-quality infrastructure projects' as defined in the Reserve Bank of India (Non-Banking Financial Companies - Concentration Risk	75

	Management) Directions, 2026 and where the borrower has repaid at least 2 per cent of the sanctioned project debt:	
	(ii) Loans to 'High-quality infrastructure projects' as defined in the Reserve Bank of India (Non-Banking Financial Companies - Concentration Risk Management) Directions, 2026 and where the borrower has repaid at least 5 per cent of the sanctioned project debt: Provided that, for Sl. no.(e)(i) and (e)(ii) above, in the event the projects that qualify as High-quality infrastructure projects subsequently fail to meet these conditions, they shall be subject to risk weights prescribed under Sr. no.3(e) or (g), as applicable, of this table. Provided further that for Sl. no.(e)(i) and (e)(ii) above the repayment threshold should be determined based on the sanctioned project debt. Additional debt, if any, sanctioned as a part of takeover of the loan or otherwise should be clubbed with previous loan(s) sanctioned against the project assets and/or cash flows to determine the repayment threshold. Provided further that, in case of exposures attracting a lower risk weight under the guidelines applicable up to March 31, 2026, but will be subject to higher risk weights in terms of Sl. no. (e)(i) and (e)(ii) above, NBFCs can continue to maintain the extant risk weights till the next review / renewal or March 31, 2027, whichever is earlier.	50
(v)	Other assets: (d) Others (to be specified) ***including ROU assets***	100

5. On page no. 14.99, Standard asset provisioning to be read as

Standard Asset Provisioning – NBFC-ML: NBFC-ML shall make provisions for standard assets at 0.40 percent of the outstanding (including microfinance loans), which shall not be reckoned for arriving at net NPAs.

Standard asset provisioning – NBFC-UL (category-wise): Individual housing loans / loans to SMEs – 0.25%; housing loans at teaser rates – 2.00% (decreasing to 0.40% one year after reset, if still 'standard'); advances to CRE-RH – 0.75%; advances to CRE (other than CRE-RH) – 1.00%; restructured advances – as per the Resolution of Stressed Assets Directions, 2025; all other loans/advances (incl. Medium Enterprises) – 0.40%.

Illustration: An NBFC-UL has the following 'standard' assets outstanding: individual housing loans ₹ 200 crore; CRE (other than CRE-RH) advances ₹ 50 crore; and other loans ₹100 crore. Standard asset provision = (200 × 0.25%) + (50 × 1.00%) + (100 × 0.40%) = ₹ 0.50 crore + ₹ 0.50 crore + ₹ 0.40 crore = ₹1.40 crore.

The above regulatory requirements are to be amended in a phased manner under the Scale- Based Regulation prescribed by RBI for NBFCs.

Students may note that (a) an NBFC may factor in Default Loss Guarantee (DLG) cover while computing Ind AS Expected Credit Loss provisions, subject to conditions; and (b) on implementation of a resolution plan under Chapter VI-A of the Resolution of Stressed Assets Directions, 2025, an additional specific provision of 5% of the outstanding debt is required per instance of restructuring (capped at 100%), written back once the borrower repays at least 20% without slipping back into NPA.

[Students may refer Master Direction – Reserve Bank of India (Non-Banking Financial Companies – Income Recognition, Asset Classification and Provisioning) Directions, 2025 for detailed guidelines on prudential norms relating to Non-Banking Financial Companies covered in these Directions.]

Chapter 19- Professional Ethics & Liabilities of Auditors

1. On page no. 19.68 amendment in Clause (9) of Part I of First Schedule

Clause (9) accepts an appointment as auditor of a company without first ascertaining from it whether the requirements of Section 225 of the Companies Act, 1956 (1 of 1956), or sections 139 to 141 of the Companies Act, 2013 or any other law pertaining to appointment of auditors for the time being in force, in respect of such appointment have been duly complied with;

2. On page no. 19.109 insertion of Clause (5) in Part II of Second Schedule

Clause (5) acts as an auditor of the company in contravention of the provisions of the Companies Act, 2013.

3. On Page no 19.111, Chapter VI to be read as

In order to ensure the quality of tax audit, the Council of the Institute has decided the limit on the number of tax audits, to be effected by issuance of new guidelines, as follows –

(i) the existing limit of 60 tax audit assignments per member to be retained, but the same shall be in respect of tax audit assignments in a particular financial year.

(ii) the said limit of 60 would be the aggregate limit in respect of all tax audits accepted and signed by a member, both in his individual capacity and as a partner of a firm(s). In other words, an individual member cannot sign more than 60 tax audit reports in a financial year.

(iii) the limit on number of tax audit assignments per partner in a CA Firm cannot be distributed/or shared between the partners.

(iv) the limit of 60 would, however, not apply to tax audit assignments arising out of the requirements under clause (c), clause (d) and clause (e) of section 44AB, in relation to persons covered under section 44AE, 44ADA and 44AD, respectively.

(v) in the case of revision of tax audit report, the revised tax audit report shall not be taken into account for the purpose of reckoning the said limit of 60.